5

Is This a Good Market? Please Don't Ask

During every question-and-answer period after I give a speech, somebody stands up and asks me if we're in a good market or a bad market. For every person who wonders if Goodyear Tire is a solid company, or well-priced at current levels, four other people want to know if the bull is alive and kicking, or if the bear has shown its grizzly face. I always tell them the only thing I know about predicting markets is that every time I get promoted, the market goes down. As soon as those words are launched from my lips, somebody else stands up and asks me when I'm due for another promotion.

Obviously you don't have to be able to predict the stock market to make money in stocks, or else I wouldn't have made any money. I've sat right here at my Quotron through some of the most terrible drops, and I couldn't have figured them out beforehand if my life had depended on it. In the middle of the summer of 1987, I didn't warn anybody, and least of all myself, about the imminent 1,000-point decline.

I wasn't the only one who failed to issue a warning. In fact, if ignorance loves company, then I was very comfortably surrounded by a large and impressive mob of famous seers, prognosticators, and other experts who failed to see it, too. "If you must forecast," an intelligent forecaster once said, "forecast often."

Nobody called to inform me of an immediate collapse in October, and if all the people who claimed to have predicted it beforehand had sold out their shares, then the market would have dropped the 1,000 points much earlier due to these great crowds of informed sellers.

Every year I talk to the executives of a thousand companies, and I can't avoid hearing from the various gold bugs, interest-rate disciples, Federal Reserve watchers, and fiscal mystics quoted in the newspapers. Thousands of experts study overbought indicators, oversold indicators, head-and-shoulder patterns, put-call ratios, the Fed's policy on money supply, foreign investment, the movement of the constellations through the heavens, and the moss on oak trees, and they can't predict markets with any useful consistency, any more than the gizzard squeezers could tell the Roman emperors when the Huns would attack.

Nobody sent up any warning flares before the 1973–74 stock market debacle, either. Back in graduate school I learned the market goes up 9 percent a year, and since then it's never gone up 9 percent in a year, and I've yet to find a